

QUESTION ONE

- a) "Many Ugandans shy away from risk management because of different reasons", commented a young entrepreneur. As a student who has studied business risk management, explain the various threat management approaches that a business can use to deal with risks. (15 Marks).
- b) Apart from subrogation, explain any other five principles of insurance (10 Marks)

QUESTION TWO

- a) Having been taught that "maintaining working capital is one of the most important factors for the continuity of a business", explain reasons why some businesses keep a high working capital. (15 Marks)
- b) Apart from retained earnings, what are the other long term sources of finance available to public limited companies (10 marks)

QUESTION THREE

- a) Using MTN as an organization of your choice, discuss how creation of a large customer base has enabled it to achieve all its other business objectives. (17 Marks)
- b) Despite the fact that businesses are started with many objectives, sometimes they are unable to achieve all. Why do some businesses find it so hard to achieve their intended objectives? (8 marks)

QUESTION FOUR

- a) Discuss the different components of Memorandum of Association those planning to register a company must know. (10 Marks)
- b) Describe the production process of a manufacturing firm of your choice using an illustration. (7 Marks)
- c) Explain the subunits that make up the production department of a manufacturing firm. (8 Marks)

QUESTION FIVE

Write short but comprehensive notes about the following;

- a) Reasons for business combination (8 Marks)
- b) Limitations of corporate social responsibility (6 Marks)
- c) Cumulative versus non-cumulative preference shares (4 Marks)
- d) Limited partnerships versus limited liability partnerships (4 Marks)
- e) Exchange motive (3 Marks)